Chargeback and Refund Root-Cause Map

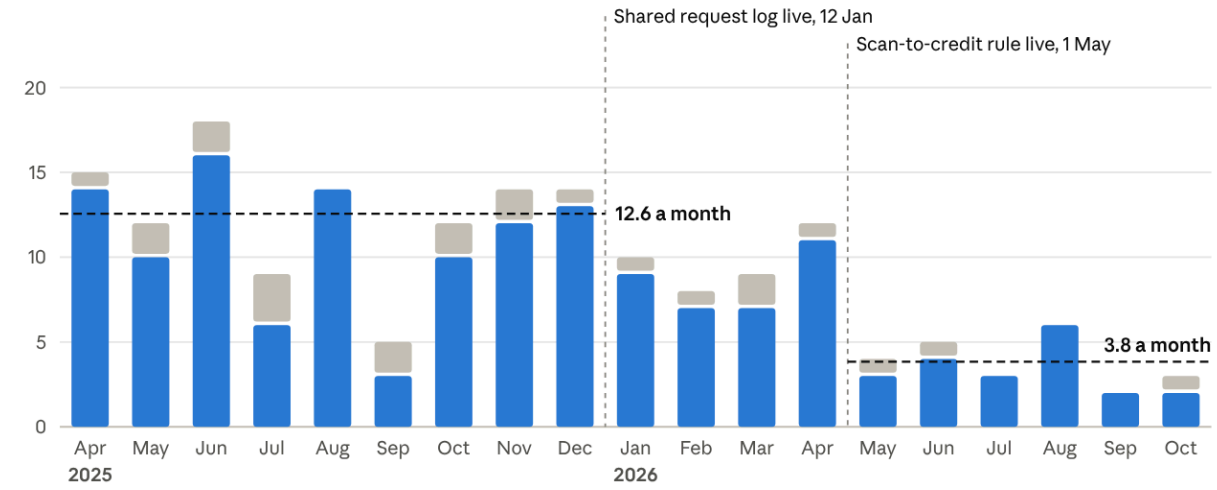
WESTLINE AUTO PARTS · CREDIT & COLLECTIONS · ROOT-CAUSE ANALYSIS · OCTOBER 2026

Of Westline's 175 card chargebacks since April 2025, 152 (87%) were refunds the company already owed but had not paid. The customer returned the part and waited, on the median, 57 days before asking their bank for the money. Fixing the hand-offs between sales, dispatch, the yards, accounting and AP cut chargebacks from 12.6 a month to 3.8. Disputed dollars fell from $6,119 a month to $1,654.

Westline Auto Parts is a fictional company, and every figure here comes from a synthetic dataset.

Chargebacks fell from 12.6 a month to 3.8 once the refund hand-offs were fixed

Card chargebacks opened per month, all yards. October 2026 runs to the 26th.

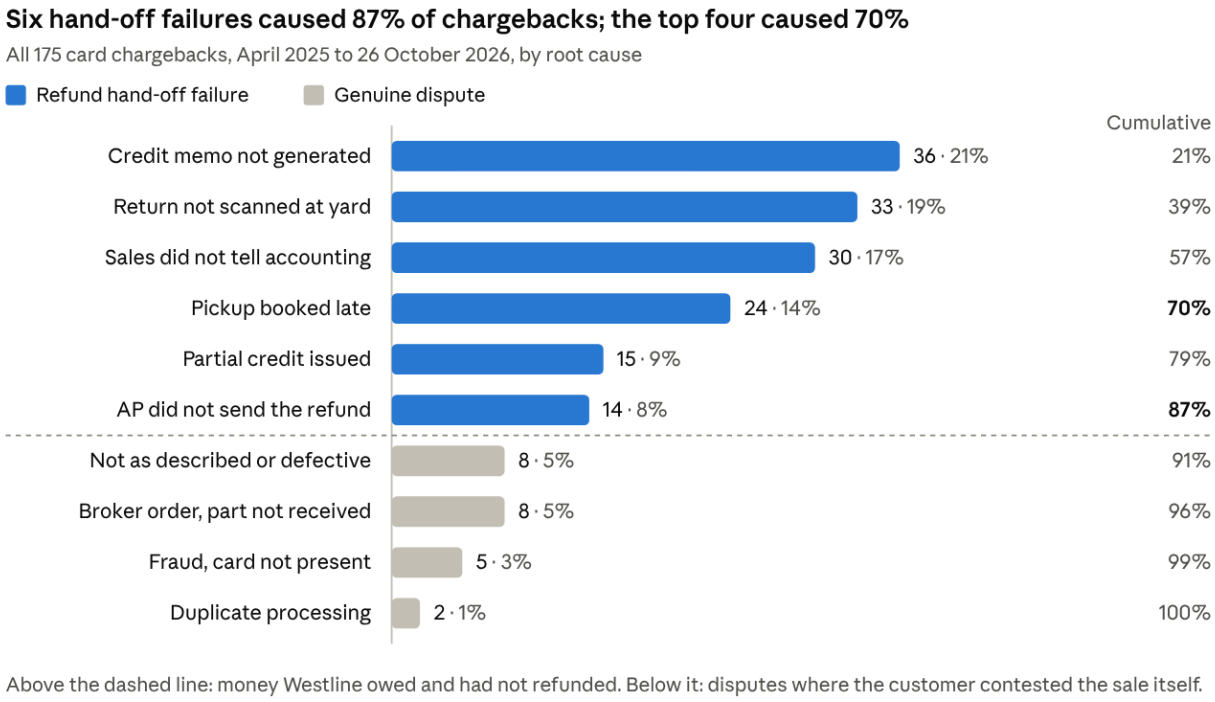


Westline synthetic card dispute log · 175 chargebacks · Apr 2025 to 26 Oct 2026

The request log made sales hand returns to the desk. The scan-to-credit rule made the yard scan raise the credit, which closed the two largest gaps.

What drives chargebacks

Six failed hand-offs explain 152 of the 175 chargebacks, and the top four explain 70%. None of the six is a customer problem; each is a step between two Westline teams.

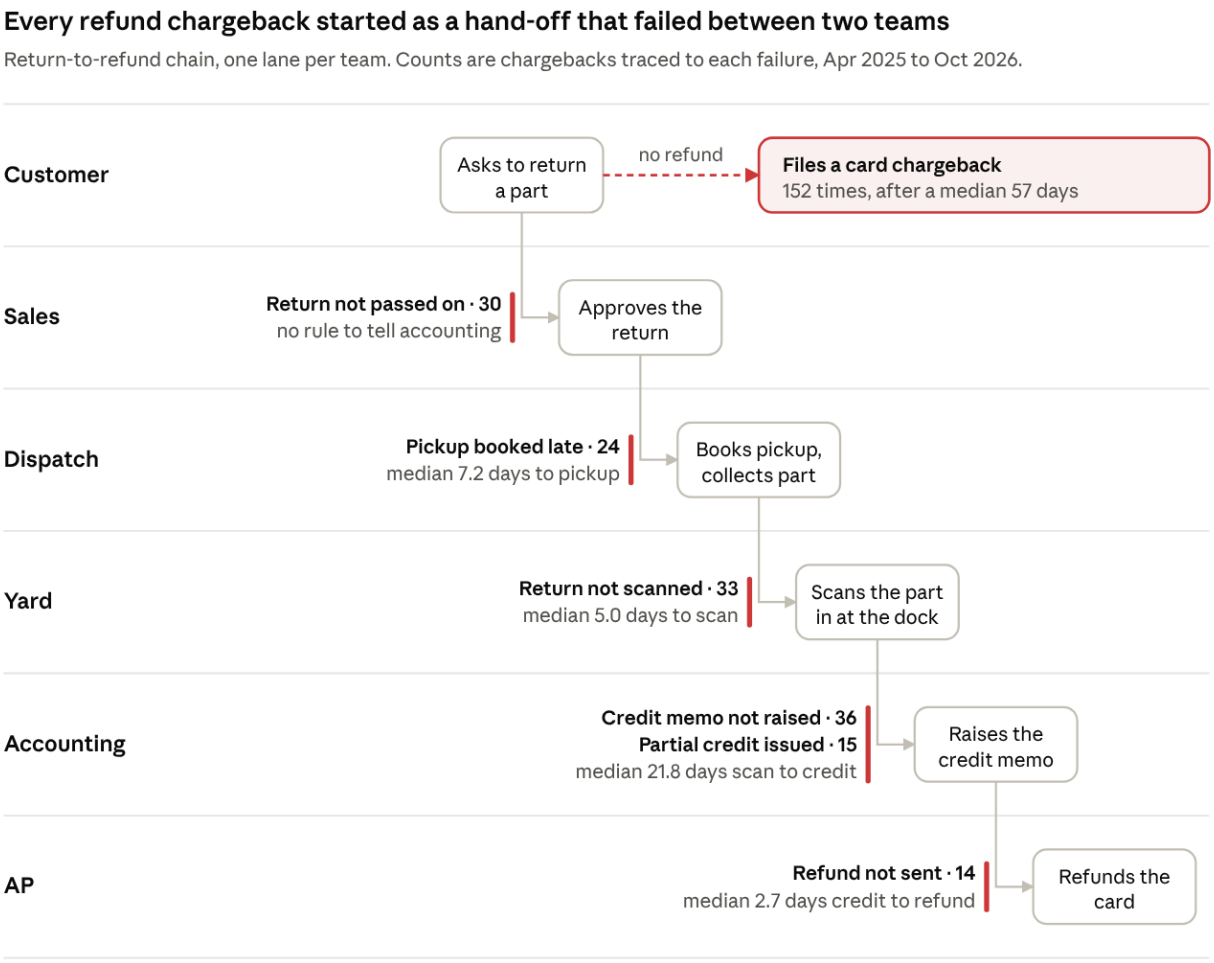


Westline synthetic card dispute log · root cause assigned at the first late or missed hand-off

The genuine disputes are few and mostly winnable (see Genuine disputes and fraud below). The money and the customer goodwill sit above the line.

Where the refund chain breaks

A refund passes through six teams before the customer sees it. It failed at every hand-off, and the slowest gap was the 21.8 days from yard scan to credit memo.



Return-to-refund chain · 6 teams, 5 hand-offs · medians from refund chargebacks opened Apr–Dec 2025

No single team caused the problem. Each step worked on its own, but nobody owned the gaps between steps. That is why the fixes below are rules about hand-offs, not retraining for one team.

Five whys on the largest cause

The largest single cause was a credit memo that never got raised: 36 chargebacks. Asking why five times leads back to a missing hand-off rule, not to one careless person.

1. **Why did the customer dispute the card charge?** They returned the part and had no refund after about eight weeks. The median wait before a dispute was 57 days.
2. **Why was there no refund?** AP refunds only against a credit memo, and no credit memo existed.
3. **Why was no credit memo raised?** Accounting raises credits only when it learns of a return. The yard scan sat in the yard system, and nobody passed it on.
4. **Why did nobody pass it on?** No team owned the step between “part is back on the shelf” and “credit is raised”. Each team assumed another would do it.
5. **Why did no team own it?** Returns were set up as a warehouse task. Their effect on the customer's balance was never designed into the process.

Root cause: no owner and no trigger for the scan-to-credit hand-off. The fix in the countermeasures below makes the scan itself the trigger.

Countermeasures

Five of the six hand-off failures are now rare. The sixth, partial credits, has not improved, and it is the next fix.

Root cause	Countermeasure	Owner	Live since	Chargebacks, Apr–Dec 2025 (9 months)	Chargebacks, May–Oct 2026 (6 months)
Credit memo not generated	The yard scan opens a credit task in the shared request log. Credits are raised within 2 business days of the scan.	Credits and returns	1 May 2026	23	5
Return not scanned at yard	Parts are scanned at the dock before shelving. The driver's pickup sheet closes only with a scan ID.	Yard managers	1 May 2026	21	3
Sales did not notify accounting	Sales logs every agreed return in the shared request log, and the desk contacts the customer within 4 hours.	Sales, collections	12 Jan 2026	21	5
Pickup scheduled late	Pickup is booked on the same call that approves the return, with a 3-day target.	Dispatch	1 May 2026	16	1
Refund not processed by AP	Card refunds go out in AP's daily run. The request log flags any refund still pending after 2 days.	AP	12 Jan 2026	10	1
Partial credit issued	Planned: the credit memo will itemise core and restocking deductions, and the specialist will explain them before the credit posts	Credits and returns	Not yet live	7	5

The median pickup delay on disputed returns fell from 7.2 days to 3.6, and the yard scan delay fell from 5.0 days to 3.2.

Genuine disputes and fraud

Only 23 of the 175 chargebacks were genuine disputes, and Westline won 17 of the 22 that have been decided (77%). Each win came from sending the card network the right evidence within its response window.

Reason code	Cases	Won	Lost	Evidence that wins
Not as described or defective	8	7	1	Part number match against the order, photos taken at dispatch, return offer made to the customer
Merchandise not received (broker order)	8	6	2	Signed proof of delivery to the address on the order, plus the order call recording
Fraud, card not present	5	3	2	Billing address check result, card security code result, past orders from the same card
Duplicate processing	2	1	0	Two invoice numbers for two shipments; one case still pending

A further 21 refund chargebacks were also won, because the refund had already gone out. The evidence was the refund transaction ID and its date. Westline accepted the other 130 refund chargebacks because it really did owe that money.

Brokers and impersonators

Two fraud patterns reach the desk as escalations rather than chargebacks. In 26 cases a broker ordered a part and the end customer never received it. In 22 cases a customer paid someone posing as Westline. Four controls now apply to every account:

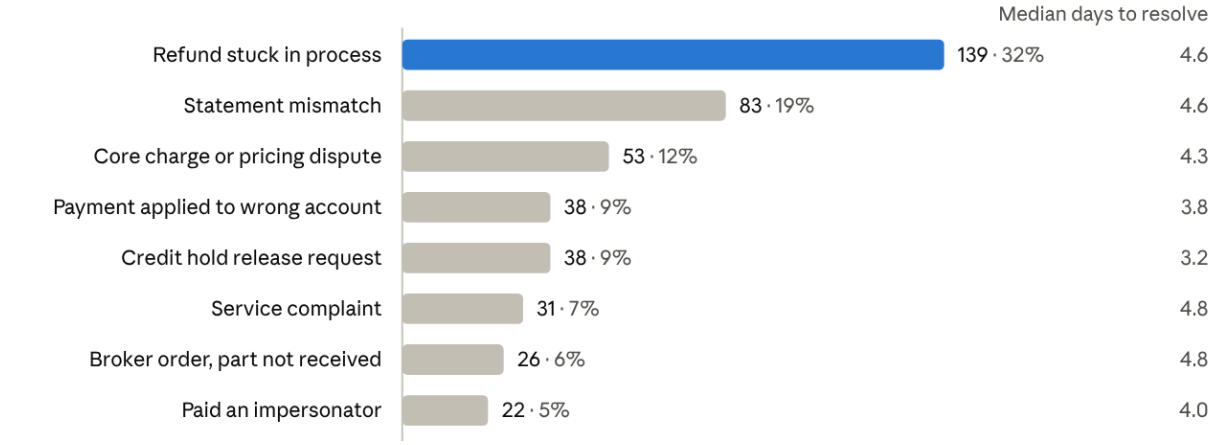
- An order to a new ship-to address over $1,000 is confirmed by calling the number on file, never a number given on the order.
- Changes to remittance details are confirmed by phone with a known contact before anything is updated.
- Every invoice and statement says that Westline never asks for payment to a new bank account by email.
- A broker account pays by card or prepayment until it has six months of clean history.

The customer's side: escalations

Customers escalate the same failures before their bank ever hears of them. Refunds stuck in the process were the top theme, with 139 of 430 escalations.

Refunds stuck in the process were the top escalation, nearly a third of all

All 430 escalations to the desk, April 2025 to 26 October 2026, by theme



The next three themes are reconciliation problems that the month-end close now catches.

Westline synthetic escalation log · 430 escalations · Apr 2025 to 26 Oct 2026

Escalations fell from 27.6 a month in April to December 2025 to 17.7 a month from May to October 2026. The median time to resolve one fell from 5.8 days to 2.6. Every escalation is a chance to stop a chargeback, so the 4-hour first-contact rule on the request log applies to escalations as well.

Holding the gain

Five measures, reviewed for 30 minutes every Monday, keep the hand-offs from drifting back. The Collections Lead chairs the review. Credits and returns, the dispatch lead, AP and one sales lead attend.

Measure	Target	May–Oct 2026
Chargebacks per month	3 or fewer	3.8
Days from return request to card refund, median	10 or fewer	10
Days from return request to card refund, slowest 10%	14 or fewer	17
Escalations resolved, median days	3 or fewer	2.6
Chargebacks from partial credits	Zero	5

Monday agenda

1. Returns scanned more than 2 business days ago with no credit memo.
2. Card refunds pending more than 2 days.
3. New chargebacks, each with its network response deadline.
4. Escalations open more than 3 days.
5. One root cause from the week, and the change that stops it happening again.

Data and method

This map covers every card chargeback (175) and every escalation (430) opened between 1 April 2025 and 26 October 2026 at all four yards.

- **Root cause.** Each refund chargeback was traced through the return's timestamps: request, pickup, yard scan, credit memo and refund. It was assigned to the first hand-off that ran late or never happened.
- **Periods.** Before = April to December 2025. After = May to 26 October 2026. January to April 2026 is the transition, when the request log was live but the scan-to-credit rule was not.
- **Medians, not averages.** A few returns took months, and an average would let those few set the story.
- **Westline Auto Parts is fictional.** Every record here comes from a synthetic dataset built to mirror a real four-yard collections desk. No real customer, card or employee data is used.